

Five-Sigma Event

For years academicians and investment professionals have debated the validity of what has come to be known as the efficient market theory. This controversial theory suggests that analyzing stocks is a waste of time because all available information is already reflected in current prices. Those who adhere to this theory claim, only partly in jest, that investment professionals could throw darts at a page of stock quotes and pick winners just as successfully as a seasoned financial analyst who spends hours poring over the latest annual report or quarterly statement.

Yet the success of some individuals who continually beat the indexes—most notably Warren Buffett—suggests that the efficient market theory is flawed. Efficient market theoreticians counter that it is not the theory that is flawed. Rather, they say, individuals like Buffett are a five-sigma event, a statistical phenomenon so rare it practically never occurs.²³ It would be easy to side with those who claim Buffett is a statistical rarity. No one has ever come close to repeating his investment performance, whether it was the 13-year results from the Buffett Partnership or the almost five-decade performance record at Berkshire Hathaway. When we tabulate the results of almost every investment professional, noting their inability to beat the major indexes over time, it prompts the question: Is the stock market indeed unassailable, or is it a question of the methods used by most investors?

Last, we have Buffett's own words to consider. "What we do is not beyond anyone else's competence. I feel the same way about managing that I do about investing: it is just not necessary to do extraordinary things to get extraordinary results."²⁴ Most would dismiss Buffett's explanation as nothing more than his special brand of Midwestern humility. But I have taken his word on the matter, and it is the subject of this book.

Notes

- ¹. Carol Loomis, *Tap Dancing to Work: Warren Buffett on Practically Everything, 1966–2012* (New York: Time Inc., 2012), 256.
- ². Matthew Bishop and Michael Green, *Philanthrocapitalism: How Giving Can Save the World* (New York: Bloomsbury Press, 2008), 1.